# FISCAL POLICY IMPLEMENTATION

## Learning Outcome

- explain the implementation of fiscal policy and difficulties of implementation as well as whether a fiscal policy is expansionary or contractionary

We next discuss major issues in fiscal policy implementation.

## Deficits and the Fiscal Stance

An important question is the extent to which the budget is a useful measure of the government's fiscal stance. Does the size of the deficit actually indicate whether fiscal policy is expansionary or contractionary? Clearly, such a question is important for economic policy makers insofar as the deficit can change for reasons unrelated to actual fiscal policy changes. For example, the automatic stabilizers mentioned earlier will lead to changes in the budget deficit unrelated to fiscal policy changes; a recession will cause tax revenues to fall and the budget deficit to rise. An observer may conclude that fiscal policy has been loosened and is expansionary and that no further government action is required.

To this end, economists often look at the structural budget deficit as an indicator of the fiscal stance. This is defined as the deficit that would exist *if the economy was at full employment (or full potential output)*. Hence, if we consider a period of relatively high unemployment, such as 2009–2010 with around 9–10 percent of the workforce out of work in the United States and Europe, then the budget deficits in those countries would be expected to be reduced substantially if the economies returned to full employment. At this level, tax revenues would be higher and social transfers lower. Historical data for major countries are given in Exhibit 10, where negative numbers refer to deficits and positive numbers are surpluses.

**Exhibit 10: General Government Cyclically Adjusted Balances as Percent of GDP**

| | 1995 | 2000 | 2005 | 2008 | 2010 | 2015 |
|---|---|---|---|---|---|---|
| Australia | –3.1 | 0.9 | 2.0 | –0.4 | –3.8 | –0.1 |
| Germany | –9.5 | 0.9 | –2.6 | –0.8 | –3.3 | 0.7 |
| Japan | –4.6 | –6.4 | –4.1 | –4.0 | –8.2 | –3.6 |
| United Kingdom | –5.6 | 0.8 | –4.5 | –5.6 | –7.6 | –4.3 |
| United States | –2.9 | –0.4 | –5.4 | –7.1 | –10.0 | –3.5 |
| OECD | –4.6 | –1.2 | –3.6 | –4.5 | –6.9 | –2.0 |

*Source:* OECD Economic Outlook, Volume 2018 Issue 1.

Another reason why actual government deficits may *not* be a good measure of fiscal stance is the distinction between real and nominal interest rates and the role of inflation adjustment when applied to budget deficits. Although national economic statistics treat the cash interest payments on debt as government expenditure, it makes more sense to consider only the inflation-adjusted (or real) interest payments because the real value of the outstanding debt is being eroded by inflation. Automatic stabilizers—such as income tax, VAT, and social benefits—are important because as output and employment fall and reduce tax revenues, *net* tax revenues also fall as unemployment benefits rise. This acts as a fiscal stimulus and serves to reduce the size of the multiplier, dampening the output response of whatever caused the fall in output in the first place. By their very nature, automatic stabilizers do not require policy changes; no policy maker has to decide that an economic shock has occurred and how to respond. Hence, the responsiveness of the economy to shocks is automatically reduced, as are movements in employment and output.

In addition to these automatic adjustments, governments also use discretionary fiscal adjustments to influence aggregate demand. These will involve tax changes and/or spending cuts or increases usually with the aim of stabilizing the economy. A natural question is why fiscal policy cannot stabilize aggregate demand completely, hence ensuring full employment at all times.

## Difficulties in Executing Fiscal Policy

Fiscal policy cannot stabilize aggregate demand completely because the difficulties in executing fiscal policy cannot be completely overcome.

First, the policy maker does not have complete information about how the economy functions. It may take several months for policy makers to realize that an economy is slowing, because data appear with a considerable time lag and even then are subject to substantial revision. This is often called the **recognition lag** and has been likened to the problem of driving while looking in the rearview mirror. Then, when policy changes are finally decided on, they may take many months to implement. This is the **action lag**. If a government decides to raise spending on capital projects to increase employment and incomes, for example, these may take many months to plan and put into action. Finally, the result of these actions on the

A second aspect of time in this process is the uncertainty of where the economy is heading independently of these policy changes. For example, a stimulus may occur simultaneously with a surprise rise in investment spending or in the demand for a country's exports just as discretionary government spending starts to rise. Macroeconomic forecasting models generally do not have a good track record for accuracy and hence cannot be relied on to aid the policy-making process in this context. In addition, when discretionary fiscal adjustments are announced (or are already underway), private sector behavior may well change, leading to rises in consumption or investment, both of which will reinforce the effects of a rise in government expenditure. Again, this will make it difficult to calibrate the required fiscal adjustment to secure full employment.

The following wider macroeconomic issues also are involved:

- If the government is concerned with both unemployment *and* inflation in an economy, then raising aggregate demand toward the full employment level may also lead to a tightening labor market and rising wages and prices. The policy maker may be reluctant to further fine-tune fiscal policy in an uncertain world because it might induce inflation.
- If the budget deficit is already large relative to GDP and further fiscal stimulus is required, then the necessary increase in the deficit may be considered unacceptable by the financial markets when government funding is raised, leading to higher interest rates on government debt and political pressure to tackle the deficit.
- Of course, all this presupposes that we know the level of full employment, which is difficult to measure accurately. Fiscal expansion raises demand, but what if we are already at full employment, which will be changing as productive capacity changes and workers' willingness to work at various wage levels changes?
- If unused resources reflect a low supply of labor or other factors rather than a shortage of demand, then discretionary fiscal policy will not add to demand and will be ineffective, raising the risk of inflationary pressures in the economy.
- The issue of crowding out may occur: If the government borrows from a limited pool of savings, the competition for funds with the private sector may crowd out private firms with subsequently less investing and economic growth. In addition, the cost of borrowing may rise, leading to the cancellation of potentially profitable opportunities. This concept is the subject of continuing empirical debate and investigation.

## Question Set

**1.** Which of the following statements is *least* accurate?

**A.** The economic data available to policy makers have a considerable time lag.
**B.** Economic models always offer an unambiguous guide to the future path of the economy.
**C.** Surprise changes in exogenous economic variables make it difficult to use fiscal policy as a stabilization tool.

Hide Solution

**Solution**:

B is correct. Economic forecasts from models will always have an element of uncertainty attached to them and thus are not unambiguous or precise in their prescriptions. Once a fiscal policy decision has been made and implemented, unforeseen changes in other variables may affect the economy in ways that would lead to changes in the fiscal policy if we had perfect foresight. Note that it is true that official economic data may be available with substantial time lags, making fiscal judgments more difficult.

**2.** Which of the following statements is *least* accurate?

**A.** Discretionary fiscal changes are aimed at stabilizing an economy.
**B.** Automatic fiscal stabilizers include new plans for additional road building by the government.
**C.** In the context of implementing fiscal policy, the recognition lag is often referred to as "driving while looking in the rearview mirror."

Hide Solution

**Solution**:

B is correct. New plans for road building are discretionary and not automatic.

**3.** Which of the following statements regarding a fiscal stimulus is *most* accurate?

**A.** Accommodative monetary policy reduces the impact of a fiscal stimulus.
**B.** Different statistical models will predict different impacts for a fiscal stimulus.
**C.** It is always possible to precisely predict the impact of a fiscal stimulus on employment.

Hide Solution

**Solution**:

**4.** Which of the following statements is *most* accurate?

**A.** An increase in the budget deficit is always expansionary.
**B.** An increase in government spending is always expansionary.
**C.** The structural deficit is always larger than the deficit below full employment.

Hide Solution

**Solution**:

A is correct. Note that increases in government spending may be accompanied by even bigger rises in tax receipts and hence may not be expansionary.

**OPTIONAL UNTESTED SEGMENT**

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RC For Q4 in the Question Set, why is the answer A?

An increase in the deficit could be caused by a recession, where high unemployment results in lowered tax revenue and increased transfer payments, no? I'm confused. I would have thought the answer was B.

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RS Shouldn't the answer be Option 3 for Question 4? i.e., The structural deficit is always larger than the deficit below full employment.

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